

VERTEX GLOBAL MANUFACTURING	STANDARD OPERATING PROCEDURE Supplier Risk Management Protocol	Doc ID: SOP-SCM-042 Version: 2.0 Effective Date: June 21, 2026
		Review Cycle: Annual Security Tier: Restricted

1. PURPOSE

This Standard Operating Procedure (SOP) defines the mandatory governance, responsibilities, and analytical methodologies required to identify, systematically evaluate, and aggressively mitigate supplier-related operational and financial risks. The core purpose of this framework is to insulate global operations against material delivery failures, guarantee compliance across the supply network, and protect downstream commitments to clients and stakeholders.

2. SCOPE

The scope of this procedure applies to all strategic sourcing, procurement, quality assurance, and supply chain continuity operations globally. It mandates coverage for all direct suppliers providing raw materials, advanced components, core sub-assemblies, and specialized primary/secondary packaging materials. Additionally, any indirect or Tier 2 supplier identified as an exclusive Single-Source constraint must be assessed under these criteria.

3. SUPPLIER RISK CATEGORIES

To establish a multi-dimensional risk vector, vendors must be categorized and evaluated across the following six standard risk definitions:

- **Delivery Delays:** Chronic or acute supplier inability to fulfill order quantities inside specified lead-time envelopes, threatening target assembly schedules and safety margins.
- **Financial Instability:** Material changes in a vendor's capitalization, debt ratios, public credit rating adjustments, or structural bankruptcy hazards capable of triggering a abrupt halt in production.
- **Quality Issues:** Failures in component conformances, standard tolerances, biological/chemical contaminants, or escalated defect trends causing inbound lot rejections or field actions.
- **Regulatory Violations:** Lapses in global trade compliance, export/import sanctions, environmental breaches, local child/forced labor laws, or an expiration of mandatory regulatory certifications.
- **Geopolitical Disruptions:** Instabilities originating from regional conflicts, changes in tariff structures, border security updates, or sudden trade embargoes intersecting key transport corridors.

- **Natural Disasters:** Localized environmental catastrophes including seismic shifts, tsunamis, volcanic eruptions, hurricanes, or severe localized health crises that damage infrastructure or isolate key production hubs.

4. RISK ASSESSMENT METHODOLOGY

Risk tiers are dynamically calculated by multiplying the evaluated Likelihood of an adverse event by the Operational Severity Impact. The resulting **Supplier Risk Score** normalizes into a scale of 0 to 100, dictating standard oversight levels:

RISK CATEGORY	SCORE MATRIX	MANDATED ACTION & OPERATIONAL PROTOCOL
LOW RISK	Score < 30	Routine data collection and monitoring via standard quarterly business reviews. Eligible for multi-year contract renewals.
MEDIUM RISK	Score 30 – 60	Bi-monthly performance reviews. Sourcing must identify secondary options and ensure they are active within the system.
HIGH RISK	Score > 60	Monthly review of performance. Supplier must submit a comprehensive Corrective Action Plan. Active transition to a dual sourcing allocation must be reviewed.
CRITICAL RISK	Score > 80	Immediate volume restriction. Activation of secondary or tertiary backup suppliers. Weekly progress tracking reported directly to the executive committee.

5. DELAY ESCALATION PROTOCOL

In the event of an unexcused transit or manufacturing deviation, operations must initiate the following tiered response schedule. The level of intervention scales dynamically with the duration of the operational disruption:

DELAY HORIZON	IMMEDIATE TACTICAL ACTION	ESCALATION & NOTIFICATION FLOW
< 2 Days	Monitor shipment closely.	Track progress via carrier telemetry data and update internal inventory tracking systems.
2 – 5 Days	Notify procurement team.	Formally notify internal procurement managers. Request a formal root-cause statement and revised shipping confirmation from the vendor.
> 5 Days	Initiate supplier escalation.	Issue a formal Non-Conformance Notice. Demand immediate intervention from supplier executives. Assess internal floor coverage via safety stock allocations.
> 10 Days	Activate backup supplier.	Execute emergency purchase orders with approved fallback vendors. Redirect incoming logistics streams. Begin legal review for breach of contract or liquidation clauses.

CRITICAL EXCEPTION CLAUSE

If a supplier categorized under a "High" or "Critical" general risk tier exhibits any unexcused delay exceeding 48 hours, procurement managers are authorized to immediately bypass intermediate protocols and enact the full **> 5 Days** escalation process.

6. MITIGATION ACTIONS & CONTINGENCY PLANNING

Procurement teams must apply systemic preventative frameworks across all business units to insulate production lines from single-point-of-failure vulnerabilities:

- **Maintain Alternate Suppliers:** All Class-A critical commodities must be cross-qualified with an independent alternate manufacturing vendor located in a separate geographic region.
- **Monthly Supplier Reviews:** Cross-functional supplier performance assessments must be conducted monthly for any entity showing downward metric trends or elevated risk profiles.
- **Maintain Safety Stock:** Risk scores directly scale safety stock parameters. High-risk suppliers require a minimum safety position of 45 operational days, overriding standard lean inventory baselines.
- **Dual Sourcing Strategy:** Core volume agreements must implement split-source allocations (e.g., 70% primary, 30% secondary) to keep secondary production tooling, communication tracks, and quality protocols warm.

7. KEY PERFORMANCE INDICATORS (KPIs)

The health and institutional compliance of this supplier risk policy are monitored via three primary operational targets. Performance gaps over consecutive quarters require root-cause mitigation logs:

Performance Metric	Target Standard	Evaluation Method
Supplier On-Time Delivery (OTD)	> 95.0%	ERP ledger calculation mapping delivery receipt dates to baseline purchase commitments.
Supplier Defect Rate (SDR)	< 2.0%	Incoming inspection reject metrics calculated monthly as a percentage of total volume.
Assessment Coverage Rate	100.0% Compliance	Bi-annual operational audit tracking valid risk evaluations for all Tier 1 vendors.

8. DOCUMENT ADMINISTRATION & CHANGE HISTORY

This standard document is a controlled corporate record. Any proposed amendments or process alterations must pass formal review by the Supply Chain Governance board before implementation.

Role	Authorized Signatory / Title	Signature Field	Date Signed
Prepared By	Eleanor Vance Global Logistics Policy Lead	[ELECTRONIC]	June 15, 2026
Reviewed By	Marcus Thorne Director of Corporate Risk Control	[ELECTRONIC]	June 18, 2026
Approved By	Sarah Jenkins VP of Global Procurement Operations	[ELECTRONIC]	June 21, 2026

Revision	Release Date	Summary of Change Details
1.0	March 12, 2023	Initial deployment of standardized supplier framework and global policy.
2.0	June 21, 2026	Complete operational update to establish concrete timeline horizons, score thresholds, and dual-sourcing parameters.